



INSTRUCTIONAL AREA

Financial Analysis

ACCOUNTING APPLICATIONS SERIES EVENT

PARTICIPANT INSTRUCTIONS

(quoted directly from DECA, INC)

- "The event will be presented to you through your reading of the 21st Century Skills, Performance Indicators and Case Study Situation. You will have up to 10 minutes to review this information and prepare your presentation. You may make notes to use during your presentation."
- "You will have up to 10 minutes to make your presentation to the judge (you may have more than one judge)."
- "You will be evaluated on how well you meet the performance indicators of this event."
- "Turn in all of your notes and event materials when you have completed the event."

21st CENTURY SKILLS

- Critical Thinking – Reason effectively and use systems thinking.
- Communication – Communicate clearly.
- Creativity and Innovation – Show evidence of creativity.

PERFORMANCE INDICATORS

1. Describe the need for financial information.
2. Discuss the analysis of a company's financial situation using its financial situation.
3. Explain the nature of income statements.
4. Explain the nature of balance sheets.
5. Make responsible financial decisions.

EVENT SITUATION

You are to assume the role of a senior accountant at GLOBALTECH SOLUTIONS, a software development company. The company has been growing steadily, but now the CEO (judge) is exploring options to accelerate that growth by expanding operations, developing new products, or entering new markets. The CEO (judge) is considering seeking outside investment from venture capitalists or other investors to support this expansion. However, the CEO is unsure if the company's current financial position is strong enough to handle an influx of capital or if it is the right time for such an investment.

The CEO (judge) has asked you to analyze key figures from the company's latest balance sheet and income statement. Your job is to calculate the current ratio and net profit margin, and use these figures to explain the company's liquidity and profitability.

You have been provided with the following financial data for the last quarter:

Balance Sheet

- Current Assets: \$125,000
- Current Liabilities: \$62,500

Income Statement

- Net Sales: \$400,000
- Net Income: \$50,000

Your task is to:

1. Calculate the current ratio using the balance sheet figures to assess the company's liquidity.
2. Calculate the net profit margin using the income statement figures to evaluate the company's profitability.
3. Make a recommendation on whether the company should proceed with seeking outside investment, based on your calculations.

You will present your ideas to the CEO (judge) in a role-play to take place in their office. The CEO (judge) will begin the role-play by greeting you and asking to hear your ideas. After you have presented and answered the CEO's (judge's) questions, the CEO (judge) will conclude the role-play by thanking you for your work.

Possible Judge's Questions:

1. Why is it important to consider the company's current ratio before making investment decisions?
2. How does the net profit margin help us understand profitability?

Did the participant:		Novice	Developing	Proficient	Exemplary	Judged Score
PERFORMANCE INDICATORS						
1.	Describe the need for financial information?	0-1-2-3	4-5-6-7	8-9	10	
2.	Discuss the analysis of a company's financial situation using its financial situation?	0-1-2-3	4-5-6-7	8-9	10	
3.	Explain the nature of income statements?	0-1-2-3	4-5-6-7	8-9	10	
4.	Explain the nature of balance sheets?	0-1-2-3	4-5-6-7	8-9	10	
5.	Make responsible financial decisions?	0-1-2-3	4-5-6-7	8-9	10	
SOLUTION						
6.	Unique– Demonstrates original thinking, fresh perspectives, and an insightful approach.	0-1-2	3-4-5	6-7	8	
7.	Practical– Actionable/viable in a real-world context.	0-1-2	3-4-5	6-7	8	
8.	Effective– Achieves relevant outcomes.	0-1-2	3-4-5	6-7	8	
CAREER COMPETENCIES						
9.	Critical Thinking– Thinks critically to understand and solve problems.	0-1	2-3	4-5	6	
10.	Communication– Communicates clearly, effectively, and with reason.	0-1	2-3	4-5	6	
11.	Decision-making– Considers the impacts of decisions.	0-1	2-3	4-5	6	
OVERALL IMPRESSION						
12.	Overall impression– The degree to which the presentation leaves a lasting impression.	0-1-2	3-4-5	6-7	8	
TOTAL SCORE						

Mathematical Calculations:

1. Current Ratio = Current Assets / Current Liabilities
= \$125,000 / \$62,500
= 2.0

This ratio indicates that the company has twice as many current assets as current liabilities, suggesting strong liquidity.

2. Net Profit Margin = (Net Income / Net Sales) x 100
= (\$50,000 / \$400,000) x 100
= 12.5%

This indicates that for every dollar of sales, the company earns 12.5 cents in profit, reflecting healthy profitability.